AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Clear Secure

NYSE : YOU · $4.29B mkt cap · 95M sh · $800M cash, zero debt · Net cash ~$0.80B (~$171M cash + ~$629M marketable securities), no debt; ~95M economic shares (estimate); Revenue $0.901B FY25 (+19.7% in Q1'26); GAAP op margin 20.7%; FCF ~$0.30B (~30% margin) off the deferred-revenue model; ~$39, YTD ~+12% / TTM ~+18%; ~10x EV/FCF; quarterly + special dividend + buyback

Mature-Company DCF

22 October 2026 · the qualitative

$45.14

THE CENTRAL QUESTION

Is Clear Secure a maturing airport-lane subscription decelerating to terminal growth, or a horizontal identity-verification network expanding past the airport?

Clear Secure trades at ~$3.73B (~$39.26, up ~12% YTD / ~18% TTM) — about 10x EV/FCF on $0.901B revenue growing ~20%, with a deferred-revenue membership model that throws off a ~30% FCF margin, net cash ~$0.80B and no debt; capital return is aggressive. The fork the DCF resolves: airport CLEAR Plus saturating against a US frequent-flyer ceiling (with TSA's own free touchless ID commoditizing the lane) versus the identity platform — TSA PreCheck enrollment, biometric eGates, enterprise verification — extending the network. The modal case lands ~+79%, so the distribution leans to cheap quality.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +55.3% · 14% at or below spot

$69.76 expected fair value today

+54.5% vs spot $45.14

FORWARD COMPOUNDED VALUE

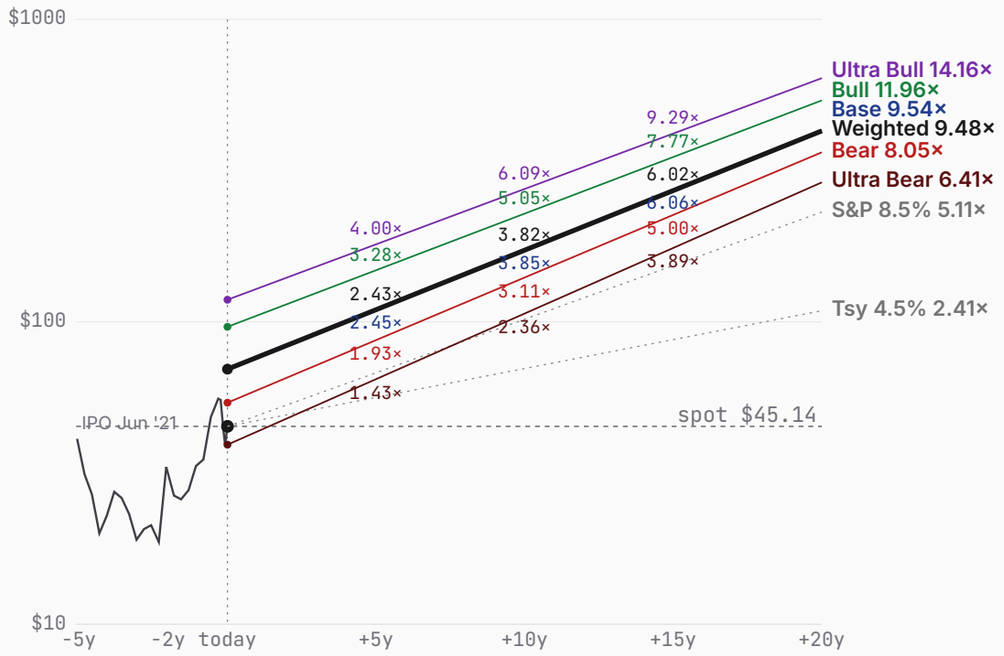
+5y	+10y	+15y	+20y
$109.70	$172.60	$271.70	$427.95
2.43× spot	3.82× spot	6.02× spot	9.48× spot

WEIGHTING RATIONALE

Ultra Bear 14% Airport saturates; TSA commoditizes; ~$39 (0%).
Bear 27% Members grow slowly; platform optional; $54 (+38%).
Base 34% Members compound; platform carries; ~$70 (+79%).
Bull 17% Identity platform second act; $96 (+145%).
Ultra Bull 8% Horizontal identity network; ~$118 (+201%).

Bull (17%) + Ultra Bull (8%) together contribute $25.84 — 37% of the $69.76 expected value despite 25% combined probability. Today's spot ($45.14) sits 35% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $39.26

-13.0% vs spot

CAGR +2.4% WACC 10.5%
CAGR +2.4% Prob 14%

Airport saturates; TSA commoditizes the lane.

BEAR — $54.04

+19.7% vs spot

CAGR +6.2% WACC 10.0%
CAGR +6.2% Prob 27%

Members grow slowly; platform stays optional.

BASE — $70.11

+55.3% vs spot

CAGR +9.8% WACC 9.5%
CAGR +9.8% Prob 34%

Members compound; platform begins to carry.

BULL — $96.30

+113.3% vs spot

CAGR +13.2% WACC 9.0%
CAGR +13.2% Prob 17%

Identity platform becomes the second act.

ULTRA BULL — $118.35

+162.2% vs spot

CAGR +16.2% WACC 8.8%
CAGR +16.2% Prob 8%

Horizontal identity network; platform re-rate.

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Clear Secure scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected $69.76 (+54.5% vs spot)

ULTRA BEAR $39.26

-13.0% vs spot

Probability 14%

Airport saturates; TSA commoditizes the lane.

WHY 14%

The genuine bear: CLEAR Plus growth already decelerated to +13% while total members grew +31%, and TSA owns the airport checkpoint and is fielding its own biometric ID. 14% weight on saturation plus regulatory commoditization.

WHAT HAPPENS

CLEAR Plus hits the US frequent-flyer ceiling and TSA's own free touchless-ID rollout commoditizes the value prop: active members flatten, pricing power fades, and the platform never carries the load. Revenue creeps ~2-3%/yr and FCF margin slips toward ~24% as growth spend persists against a stalled base.

A maturing single-product subscription that has stopped compounding earns a low-growth, ~11x EV/FCF terminal — DCF ~$39 (0%). Net cash sets a floor but can't offset a saturated airport network.

BEAR $54.04

+19.7% vs spot

Probability 27%

Members grow slowly; platform stays optional.

WHY 27%

Lane growth and pricing continue but the platform doesn't inflect; a durable cash machine that decelerates toward terminal growth. 27% as the plausible 'compounds slowly' path.

WHAT HAPPENS

Membership keeps adding at a decelerating pace on price and modest lane growth, but the identity platform (PreCheck, eGates, enterprise) stays a small adjacency rather than a second engine. Revenue compounds ~6% to ~$1.2B at a steady ~28-30% FCF margin.

DCF ~$54 (+38%) — a high-margin, net-cash subscription that grows but doesn't break out is worth well above today's price, implying a re-rating on top of the FCF yield and capital return.

BASE $70.11

+55.3% vs spot

Probability 34%

Members compound; platform begins to carry.

WHY 34%

Requires continued member/pricing growth and the platform beginning to carry (PreCheck, eGates) — consistent with Q1 bookings +41% and the raised FCF outlook, not a step-change. 34% as the central outcome.

WHAT HAPPENS

The modal path: CLEAR Plus keeps adding members at ~13% with pricing, eGates roll past 50% of the network, the new TSA PreCheck enrollment channel scales, and the platform starts contributing — blending to ~10% revenue growth at a defended ~30%+ FCF margin. Revenue compounds toward ~$1.4B.

DCF ~$70 (+79%) — a ~20%-FCF-margin compounder at ~15x EV/FCF, net cash, returning capital, is mispriced if the modal case plays out; this is the core of the finding.

BULL $96.30

+113.3% vs spot

Probability 17%

Identity platform becomes the second act.

WHY 17%

The platform optionality is real and observable (3rd authorized PreCheck enroller, eGates >50% of airports, CLEAR Plus opened to 40+ more countries, enterprise verification). ~17% weight on it becoming a second engine.

WHAT HAPPENS

The platform expansion lands: CLEAR's enrolled biometric identity becomes a horizontal verification layer beyond airport lanes — PreCheck enrollment at scale, eGates across the network, stadiums and enterprise/everyday identity verification — so the platform segment grows into a real second revenue stream on top of the membership base. Revenue compounds ~13% to ~$1.7B at a ~33% FCF margin.

DCF ~$96 (+145%) — if the enrolled-identity network extends past airports, it re-rates toward a platform multiple; this is the genuine second act, not a lift to the airport business.

ULTRA BULL $118.35

+162.2% vs spot

Probability 8%

Horizontal identity network; platform re-rate.

WHY 8%

Everything works — members AND pricing AND a horizontal identity platform AND a multiple re-rate. ~8%, the long-duration tail on the network becoming the verification standard.

WHAT HAPPENS

The full second act: the enrolled biometric identity becomes the default verification rail across travel, venues and enterprise, the platform out-scales the airport base, and CLEAR re-rates to a network-platform multiple at a peak ~36% FCF margin. Revenue compounds ~16% to ~$1.9B.

DCF ~$118 (+201%) — the enrolled-identity network compounds as a horizontal platform; ~8% probability, the asymmetric upside the entry is buying.

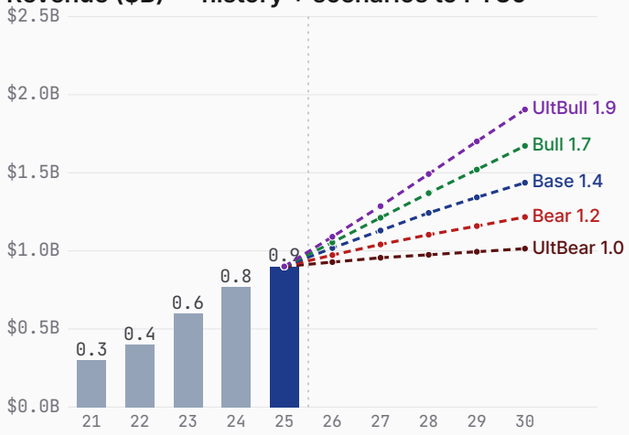
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Clear Secure business snapshot

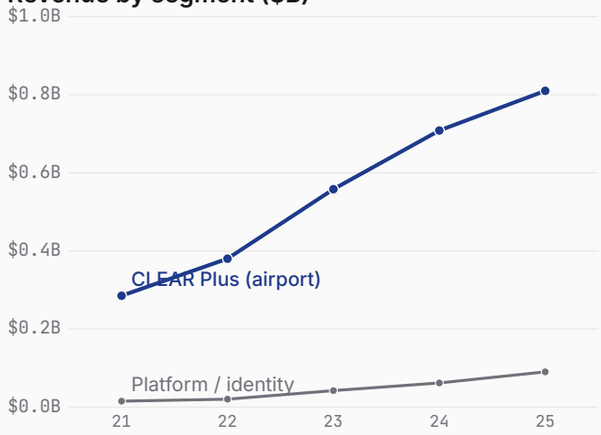
Bear $54.04 Base $70.11 Bull $96.30

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results

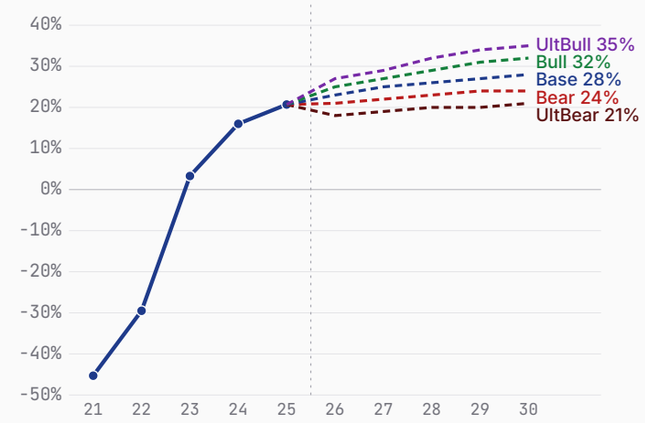
Revenue ($B) — history + scenarios to FY30



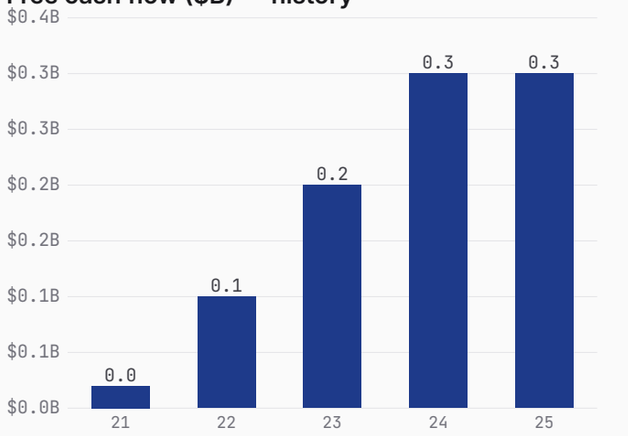
Revenue by segment ($B)



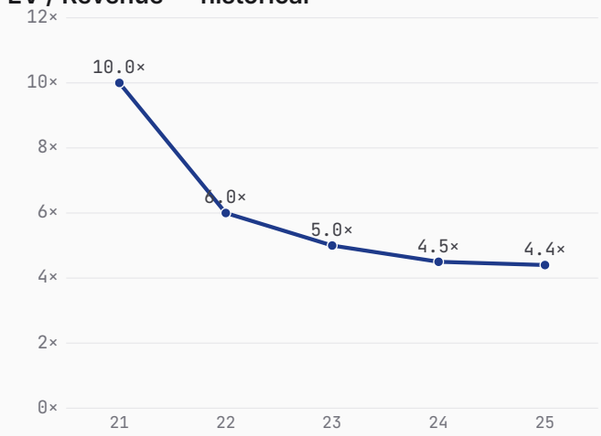
Op margin — history + scenarios



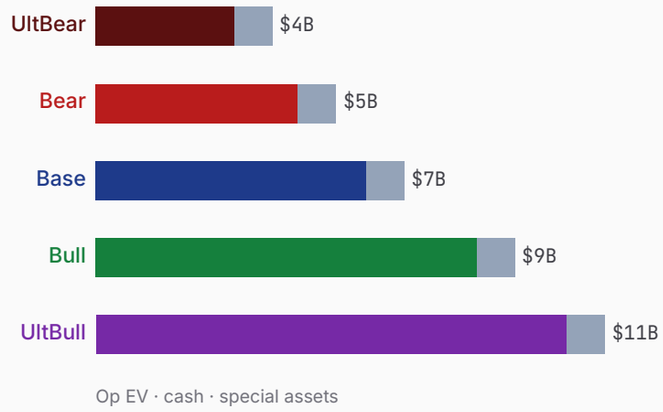
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1856314), Clear Secure Q1 FY2026 release (revenue $253.0M/+19.7%, total CLEAR Members 40.99M/+31.3%, active CLEAR Plus 8.17M/+13.0%, FCF $185.5M/+103%, total bookings $291.7M/+40.8%). FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs subscription/identity peers. Caveats: ~95M economic share count is an estimate (XBRL untagged); net cash ~$0.80B; dual-class governance gives the founder voting control.

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Clear Secure 7 Powers · the moat, scored

Bear $54.04 Base $70.11 Bull $96.30

Arena. Identity verification / expedited airport security — Clear Secure (CLEAR Plus lanes + an enrolled biometric identity network, ~$0.9B revenue) vs TSA PreCheck (and TSA's own free touchless ID), Idemia/airport biometrics, and identity-verification platforms (Okta, Onfido, Yoti, government eID); auditing switching costs + a cornered-resource identity network against saturation and regulatory commoditization.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies ■■□	Enrollment/marketing leverage over a ~41M-member base, but airport infrastructure spend is real and the absolute scale is small.
Network Economies ■■□	More enrolled identities make CLEAR more useful to venues/partners, but it is one-sided (users, not a true two-sided market) — emerging, not dominant.
Counter-Positioning ■□□	Was the consumer-paid fast-lane disruptor; now the incumbent, and TSA's free touchless ID counter-positions the paid value prop.
Switching Costs ■■■	A dominant Power: enrolled biometrics + the renewing membership habit make re-enrolling elsewhere a friction, sticky once a frequent flyer is in the network.
Branding ■■□	Recognized travel brand (the visible airport lanes), but it is a convenience brand, not pricing-power-defining the way a premium consumer brand is.
Cornered Resource ■■■ · thesis leans here	The other dominant Power: the enrolled biometric identity dataset + secured airport real-estate footprint — hard for a new entrant to replicate, though contingent on airport/TSA contracts.
Process Power ■■□	Biometric enrollment + verification operations and the deferred-revenue engine; real but replicable.

PEER SET

TSA PreCheck (incl. free touchless ID) · government
The government incumbent at the checkpoint; its own free biometric ID is the central commoditization threat to the paid lane.

Idemia / airport biometrics · private
Supplies biometric checkpoint hardware/ID to TSA and airports; an infrastructure competitor to CLEAR's lane economics.

Okta 13% gr · 22% mgn · ~30x EV/FCF
Enterprise identity/verification platform; the comp if CLEAR's platform becomes a horizontal identity layer, and a margin/multiple benchmark.

Onfido / Yoti / government eID · private
Identity-verification challengers and national digital-ID schemes; pressure on the platform's everyday-verification ambition.

THREAT VECTORS · FALSIFIERS

Cornered Resource · TSA's own free touchless ID
falsifier: CLEAR Plus active-member growth decays toward flat as the free government biometric lane commoditizes the paid value prop.

Switching Costs · US frequent-flyer saturation
falsifier: The addressable frequent-flyer base is exhausted; net active CLEAR Plus members plateau despite pricing.

Network Economies · Identity-verification platforms (Okta/Onfido/government eID)
falsifier: The platform/identity segment stays an immaterial adjacency while rivals own enterprise/everyday verification.

COMPETITIVE READ

Clear Secure's Powers are switching costs (an enrolled biometric identity + the renewing membership habit) and a cornered resource (the enrolled-identity dataset + secured airport footprint) — genuine but airport-contingent. The Audit: the cornered resource is durable (medium) only as long as the airport network holds and the platform extends it; the live threats are US frequent-flyer saturation and, more pointedly, TSA's own free touchless ID commoditizing the paid lane. That fork drives the terminal growth rate, and the DCF prices both sides — a saturating single-product subscription in the ultra-bear (0%) against a horizontal identity network in the bull/ultra-bull (+145% / +201%). The modal case has members compounding while the platform begins to carry (+79%), so a ~30%-FCF-margin, net-cash, capital-returning compounder at ~10x EV/FCF screens as cheap quality. Standing caveats on any per-share read: dual-class governance (founder voting control over minority economic holders) and a ~95M economic share count that is an estimate.

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Clear Secure show your work

Bear $54.04 Base $70.11 Bull $96.30 · Weighted $69.76 (+54.5%)

ULTRA BEAR $39.26

ASSUMPTIONS

5y revenue CAGR (%)	+2.4
Year-5 op margin (%)	21.0
WACC (%)	10.5
Terminal growth (%)	2.0
Terminal FCF ($B)	$0.27B
Starting revenue ($B)	0.90
Scenario probability (%)	14

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.93	+18%	+0.22	+0.20
FY27	0.96	+19%	+0.24	+0.20
FY28	0.97	+20%	+0.25	+0.19
FY29	0.99	+20%	+0.26	+0.17
FY30	1.01	+21%	+0.27	+0.17

Σ PV explicit FCF	+0.93
+ PV terminal (g 2.0%)	2.00

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.93B
+ Cash & investments	$0.80B
= Equity value	$3.73B
FY30 shares (M)	95
= Expected per share	**$39.26**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$64.68	$106.55	$175.54	$289.20
1.43×	2.36×	3.89×	6.41×

BEAR $54.04

ASSUMPTIONS

5y revenue CAGR (%)	+6.2
Year-5 op margin (%)	24.0
WACC (%)	10.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.36B
Starting revenue ($B)	0.90
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.97	+21%	+0.26	+0.24
FY27	1.04	+22%	+0.29	+0.24
FY28	1.10	+23%	+0.32	+0.24
FY29	1.16	+24%	+0.35	+0.24
FY30	1.22	+24%	+0.36	+0.23

Σ PV explicit FCF	+1.18
+ PV terminal (g 2.5%)	3.10

EQUITY BUILD · $B & PER SHARE

Operating EV	$4.28B
+ Cash & investments	$0.80B
= Equity value	$5.08B
FY30 shares (M)	94
= Expected per share	**$54.04**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$87.03	$140.17	$225.74	$363.55
1.93×	3.11×	5.00×	8.05×

BASE $70.11

ASSUMPTIONS

5y revenue CAGR (%)	+9.8
Year-5 op margin (%)	28.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.46B
Starting revenue ($B)	0.90
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.02	+23%	+0.29	+0.27
FY27	1.13	+25%	+0.34	+0.28
FY28	1.24	+26%	+0.39	+0.29
FY29	1.34	+27%	+0.43	+0.30
FY30	1.44	+28%	+0.46	+0.29

Σ PV explicit FCF	+1.44
+ PV terminal (g 2.5%)	4.28

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.72B
+ Cash & investments	$0.80B
= Equity value	$6.52B
FY30 shares (M)	93
= Expected per share	**$70.11**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$110.37	$173.75	$273.52	$430.59
2.45×	3.85×	6.06×	9.54×

BULL $96.30

ASSUMPTIONS

5y revenue CAGR (%)	+13.2
Year-5 op margin (%)	32.0
WACC (%)	9.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.57B
Starting revenue ($B)	0.90
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.05	+25%	+0.33	+0.30
FY27	1.21	+27%	+0.39	+0.33
FY28	1.37	+29%	+0.45	+0.35
FY29	1.52	+31%	+0.52	+0.37
FY30	1.67	+32%	+0.57	+0.37

Σ PV explicit FCF	+1.71
+ PV terminal (g 3.0%)	6.35

EQUITY BUILD · $B & PER SHARE

Operating EV	$8.06B
+ Cash & investments	$0.80B
= Equity value	$8.86B
FY30 shares (M)	92
= Expected per share	**$96.30**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$148.17	$227.98	$350.77	$539.70
3.28×	5.05×	7.77×	11.96×

ULTRA BULL $118.35

ASSUMPTIONS

5y revenue CAGR (%)	+16.2
Year-5 op margin (%)	35.0
WACC (%)	8.8
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.69B
Starting revenue ($B)	0.90
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.09	+27%	+0.35	+0.32
FY27	1.29	+29%	+0.44	+0.37
FY28	1.49	+32%	+0.52	+0.41
FY29	1.70	+34%	+0.61	+0.44
FY30	1.91	+35%	+0.69	+0.45

Σ PV explicit FCF	+1.98
+ PV terminal (g 3.0%)	7.99

EQUITY BUILD · $B & PER SHARE

Operating EV	$9.97B
+ Cash & investments	$0.80B
= Equity value	$10.77B
FY30 shares (M)	91
= Expected per share	**$118.35**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$180.43	$275.08	$419.37	$639.36
4.00×	6.09×	9.29×	14.16×

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Clear Secure People · Opportunity · Context · Deal

Bear $54.04 Base $70.11 Bull $96.30

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Caryn Seidman-Becker · `founder-led` 16 yrs in seat

20.4%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
Founder-operator: Seidman-Becker has been Chair & CEO since acquiring the assets and rebuilding the company in 2010 (with co-founder Ken Cornick), through the 2021 IPO to today. Capital allocation is shareholder-friendly for the category — a net-cash, FCF-positive (~30% FCF margin) business that pays a dividend and buys back stock while reinvesting in the identity network.

Incentive alignment
The founders' economic stake (~20% of the company as a group) is the dominant alignment lever, reinforced by the dividend and buyback. The flip side is control: the same founders hold ~82.8% of the votes through super-voting shares — alignment on economics, but a wide gap between voting power and economic ownership.

GOVERNANCE FLAGS

- four-class structure with 20-vote super-voting (Class B and Class D = 20 votes each); Class A and C = 1 vote
- Class D carries 20 votes but NO economic rights — a pure voting-control leg of the Up-C structure
- founders hold ~82.8% of combined voting power on ~20% economic ownership — a large vote/economics gap
- NYSE "controlled company" (uses exemptions) though Audit/Compensation/Nominating committees are run fully independent in practice
- combined Chair & CEO; directors elected annually (board is not staggered)

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
`+54.5% vs spot $45.14`

PEOPLE READ

A genuine founder-operator with real economic alignment (~20% stake) running a net-cash, FCF-positive, capital-returning business — the positives. But the governance sits in the most-entrenched tier: a four-class, 20-vote super-voting structure gives the founders ~82.8% of the votes on ~20% of the economics (Class D even carries votes with no economic rights), the company is an NYSE controlled company, and the Chair/CEO roles are combined. The vote/economics decoupling, not the operator quality, drives the score.

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Clear Secure supporting analysis · disclaimers · glossary

Bear $54.04 Base $70.11 Bull $96.30

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~10x EV/FCF for a ~30%-margin, net-cash compounder.**
A deferred-revenue model throwing off ~30% FCF margin, growing ~20%, net cash, returning capital — cheap for the quality; the modal DCF is +79%.

2 **The deferred-revenue model is the FCF engine.**
Members pay upfront, so bookings (+41% in Q1) lead revenue and FCF (~$186M, +103% YoY) runs ahead of GAAP — the cash machine is the asset.

3 **Saturation is the real bear, not solvency.**
Net cash, no debt, ~30% FCF margin — no survival risk; the downside is a US frequent-flyer ceiling plus free TSA touchless ID, i.e. terminal growth.

4 **The platform is a genuine second act.**
3rd authorized TSA PreCheck enroller, eGates in 30+ airports (>50% of the network) — the identity network expanding beyond airport lanes.

5 **Dual-class governance is a flag.**
Founder voting control over minority economic holders, plus a ~95M economic share count that is an estimate (XBRL untagged) — a caveat to size against.

FALSIFICATION TRIGGERS

Bull validation

platform/identity revenue scales as a distinct stream · PreCheck enrollment + eGates ramp network-wide · enterprise/everyday verification wins land · CLEAR Plus active members re-accelerate above mid-teens

Bear validation

CLEAR Plus active-member growth decays toward flat · TSA's free touchless ID rolls out broadly and pricing power fades · platform revenue stays an immaterial adjacency · bookings growth converges down to revenue growth

Reframe needed

if the airport network saturates and the platform never carries, re-rate the terminal toward a low-growth single-product subscription; the dual-class governance + estimated share count are standing per-share caveats

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $YOU or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

CLEAR Plus — The paid airport-security membership (~8.17M active, +13%) that gives expedited identity verification in airport lanes — the core, mature revenue base and the saturation question.

TSA PreCheck / eGates — Government expedited-screening enrollment (3rd authorized provider) and biometric airport gates (>50% of the network) — the rails the identity platform expands through beyond lanes.

Total CLEAR Members — All enrolled identities (~40.99M, +31%), most free, spanning airports, venues and the platform — the top of the funnel CLEAR aims to convert and monetize via the identity network.

FCF margin — Free cash flow / revenue (~30% FY25, lifted by deferred-revenue prepayment); the mature-DCF swing factor — whether membership and the platform sustain ~30% cash conversion at scale.

Deferred revenue / bookings — Members prepay, so cash bookings (~$291.7M, +41%) are collected ahead of recognized revenue — the mechanism behind the ~30% FCF margin and FCF running ahead of GAAP.